

FEDERAL MARITIME COMMISSION

CLASSIFICATION OF CHINESE-POLISH
JOINT STOCK SHIPPING COMPANY AS A
CONTROLLED CARRIER UNDER
46 U.S.C. § 40102(9) AND
46 C.F.R. § 565.3

Docket No. 25-06

Served: April 14, 2025

BY THE COMMISSION: Louis E. SOLA, *Chairman*, Rebecca F. DYE, Daniel B. MAFFEI, and Max M. VEKICH, *Commissioners*.

Notice of Determination

On November 4, 2024, pursuant to delegated authority found at 46 C.F.R. § 501.12(a), the Commission's Office of the General Counsel (OGC) classified the Chinese-Polish Joint Stock Shipping Company ("Chipolbrok") as a controlled carrier of the People's Republic of China under 46 U.S.C. § 40102(9). Counsel for Chipolbrok requested an extension to the 30-day deadline to contest such a designation found at 46 C.F.R. § 565.3(b), and the Commission granted the extension on December 4, 2024, setting a new deadline of January 31, 2025. Petition No. P1-24. On January 27, 2025, counsel for Chipolbrok met with OGC staff regarding the company's classification as a controlled carrier. On January 31, 2025, Chipolbrok filed a rebuttal with the Commission against OGC's classification of Chipolbrok as a controlled carrier. We now uphold the classification.

In defining what it means to be a controlled carrier, the

language of 46 U.S.C. § 40102(9) and 46 C.F.R. § 565.2(a) describes ownership or control by a single government entity. *See* 46 U.S.C. § 40102(9); 46 C.F.R. § 565.2(a). Chipolbrok is jointly owned by the government of the People’s Republic of China and the government of Poland; each government owns 50 percent of the company. In both its January 27, 2025, meeting with OGC staff and January 31, 2025, rebuttal, Chipolbrok argued that the Shipping Act of 1984, as amended, “defines a ‘controlled carrier’ as an ocean common carrier that is, or whose operating assets are, directly or indirectly owned or controlled by a government” (emphasis in the original). Chipolbrok’s dual ownership by the governments of China and Poland presents a unique situation in its classification as a controlled carrier.

The focus of the Controlled Carrier Act is on controlled carriers using low shipping rates in order to gain entry to the U.S. economy and undercut U.S. shipping. *See* H.R. Rep. No. 95-1381, Legislative Background, at 5 (1978); S. Rep. No. 95-1260, Background, at 3 (1978). The definition of “controlled carrier” found in 46 U.S.C. § 40102(9) and 46 C.F.R. § 565.2 focuses on government ownership or control over the carrier’s actions. In this instance, it is clear that a foreign government both owns at least 50% of Chipolbrok, and controls the company—namely, the government of the People’s Republic of China. Analysis of the relationship between the Chinese and Polish owners of Chipolbrok reveals that the government of the People’s Republic of China has more control over the company than the government of Poland, despite the seemingly equal ownership. For example, the company’s office in Shanghai is a headquarters office, while the Polish office is a branch office. The Chinese portion of the company is also more complex than the Polish one, with more subsidiaries and more executives. In addition, COSCO Shipping Group, a Chinese controlled carrier, provides funding and other support to Chipolbrok. Chipolbrok Gdynia is listed as a shareholder in COSCO Poland, and the managing director of COSCO Shipping took part in the Chipolbrok management and shareholders meeting in September 2024. Furthermore, in the January 27, 2025, meeting, the company also

noted that Chipolbrok's way of doing business changed in the 1990s. When asked if that change was related to the collapse of the Soviet Union, counsel stated that it was because of a change in how China did business. This further supports the conclusion that it is China, not Poland, holding more control over Chipolbrok, despite the countries' purportedly equal ownership.

It is clear that Chipolbrok is entirely owned by foreign governments, and that one of those governments exercises greater control over the company than the other. Failing to classify Chipolbrok as a controlled carrier because it is owned by two foreign governments rather than one would be, in the Commission's view, contrary to the purpose of both the Controlled Carrier Act and 46 U.S.C. § 40102(9).

Accordingly, the Commission concludes that Chipolbrok is a controlled carrier of the People's Republic of China, notwithstanding the purportedly equal ownership of the company by the government of the People's Republic of China and the government of Poland.

THEREFORE, IT IS DETERMINED, that the classification of Chipolbrok as a controlled carrier under 46 U.S.C. § 40102(9) and 46 C.F.R. § 565.3 is UPHELD.

By the Commission.

David Eng
Secretary